

THE NO BS GUIDE TO SWING TRADING



CONTENTS

About The Author.....	3
Introduction	4
Swing Trading Basics: What Is Swing Trading And How Does It Work	5
Swing Trading Methods: Where To Find The Best Trading Opportunities.....	6
Support And Resistance	7
Moving Average (MA).....	8
Swing Trading: When Do You Enter A Trade?	9
The False Break.....	10
Bullish Reversal Candlestick Patterns – Hammer	11
Bearish Reversal Candlestick Patterns Shooting Star	12
Shooting Star	13
Swing Trading: Where To Set Your Stop Loss So You Don't Get Stopped Out Prematurely	14
Swing Trading: Where To Take Profits Before The Market Does A 180-Degree Reversal Against You	16
A Simple Swing Trading Strategy That Works	17
Conclusion.....	19
Do You Want More Stuff Like This?	19

ABOUT THE AUTHOR



Hi, my name is Rayner Teo.

I'm not a multi-millionaire trader, I don't drive fancy cars, and I don't live in a penthouse.

But I am an independent trader, an ex-prop trader, and the founder of [TradingwithRayner](https://tradingwithrayner.com).

I specialize in studying great research (from people much more qualified than me) and applying it to the real-world of trading to find out what works and what doesn't.

And finally, share them with traders like you so you can become a consistently profitable trader.

Cheers,

Rayner Teo

INTRODUCTION

Swing trading is one of the few trading approaches that's suitable for the retail trader — even if you have a full-time job.

Why?

Because it doesn't require you to spend all day in front of your screen, and it still offers enough trading opportunities so you can generate a consistent return from the markets.

Do you want to learn more?

Then today's post is for you because you'll learn:

- [What is swing trading and how does it work](#)
- [Where to find the best swing trading opportunities](#)
- [How do you time your entries for swing trading](#)
- [Where to set your stop loss so you don't get stopped out prematurely](#)
- [Where to take profits before the market does a 180-degree reversal against you](#)
- [A swing trading strategy that works](#)

Are you PUMPED?

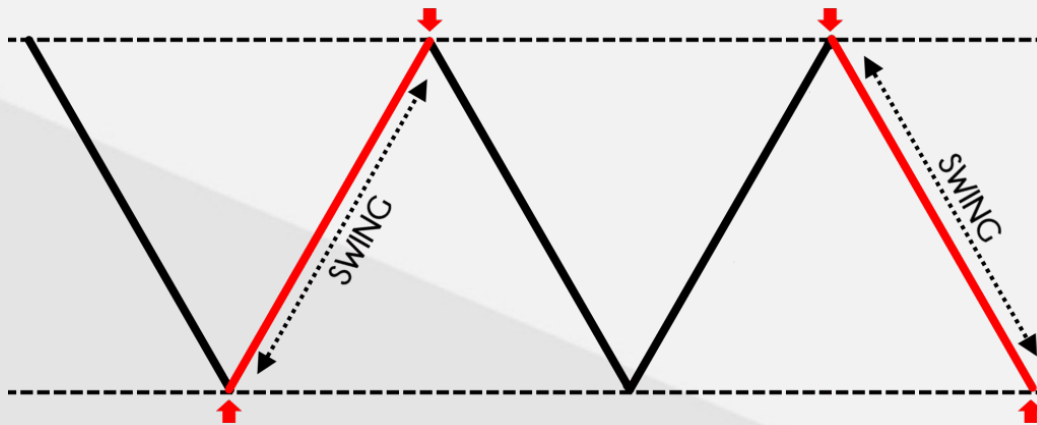
Then let's begin!

SWING TRADING BASICS: WHAT IS SWING TRADING AND HOW DOES IT WORK

Swing trading is a trading methodology that seeks to capture a swing (or "one move") in the markets.

The idea is to endure as "little pain" as possible by exiting your trades before the opposing pressure comes in.

This means you'll book your profits before the market reverse and wipe out your gains. Here's an example:



And here are the pros & cons of swing trading...

Pros:

- You don't need to spend hours in front of your monitor because your trades last for days or even weeks
- It's suitable for those with a full-time job
- Less stress compared to day trading

Cons:

- You won't be able to ride trends
- You have overnight risk

So far so good?

Then let's move on...

SWING TRADING METHODS: WHERE TO FIND THE BEST TRADING OPPORTUNITIES

Let me ask you:

When you go down to a supermarket and you're looking to buy apples, would you buy it when it's for \$10?

Unlikely.

You'd rather wait a few days to see if the price drops so you can buy it for \$2 or less.

And it's the same for swing trading!

You don't want to go long when the price is sky high.

Instead, you want to enter from an area of value where the price is "cheap".

You're probably wondering:

"How do you define an area of value?"

Well, you can use...

- [Support and Resistance](#)
- Moving Average

I'll explain...

SUPPORT AND RESISTANCE

Support – an area on your chart with potential buying pressure

Resistance – an area on the chart with potential selling pressure

An example:



So if you want to “buy low sell high”... then long Support and short Resistance.

But that's not all because you can also use...

MOVING AVERAGE (MA)

Here's how it works:

When the market is trending, it doesn't go up in one straight line.

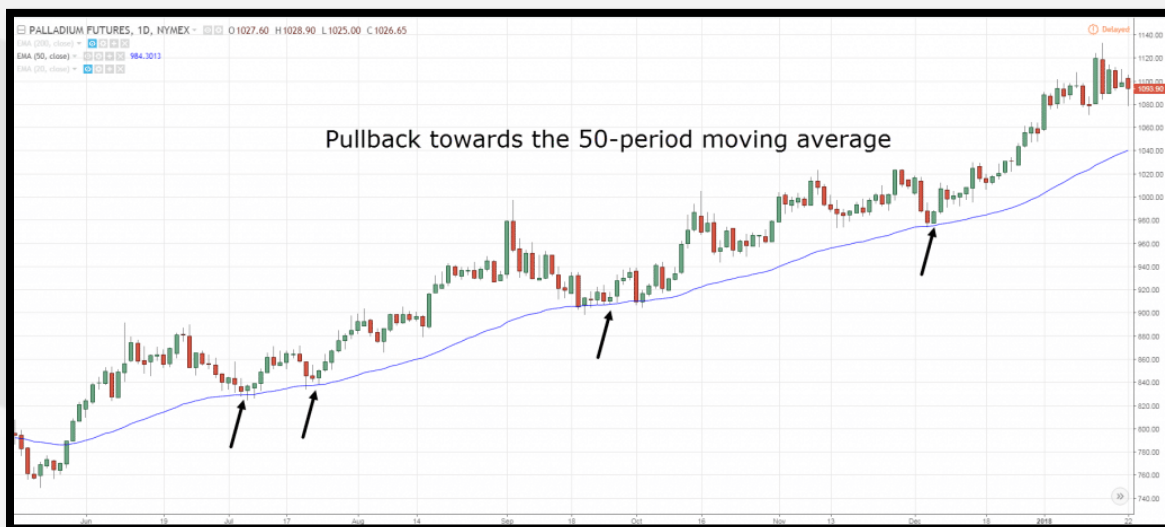
Instead...

It moves higher, [pullback](#) towards an area of value, and then continue trading higher.

And where does the market retrace to?

Possibly towards the [Moving Average](#).

An example:



Pro Tip:

In a [strong trending market](#), the price tends to pullback towards the 20MA.

In a healthy trending, the price tends to pullback towards the 50MA.

In a weak trend, the price tends to pullback towards the 100MA and beyond.

SWING TRADING: WHEN DO YOU ENTER A TRADE?

There are generally 2 ways you can go about it.

You can enter a trade the moment the price reaches an area of value or, let it show signs of reversal before putting on a trade.

Now there's no right or wrong, both approaches can work.

But personally, I'd prefer to let the market show signs of reversal first.

Here's how...

- The False Break
- Bullish reversal candlestick patterns — Hammer
- Bearish reversal candlestick patterns — Shooting Star

Let me explain...

THE FALSE BREAK

This entry technique takes advantage of breakout traders who are “trapped”.

Here's how it works...

Breakout traders tend to go long on the break of the highs.

But what happens when the market breaks out higher, only to reverse towards the downside?

Well, now the breakout traders are “trapped” as their long positions are in the red.

And if the market continues to lower, it will trigger their stop loss which fuels further price decline.

And this is how The False Break can serve as an entry trigger into a trade.

Here's an example: A False Break at the highs



Next...

BULLISH REVERSAL CANDLESTICK PATTERNS — HAMMER

Bullish reversal candlestick patterns signify that buyers are momentarily in control.

Now, there are different bullish reversals candlestick patterns like Hammer, Bullish Engulfing, Morning Star, and etc.

But for this article, I'll cover the Hammer:



A Hammer is a (1- candle) bullish reversal pattern that forms after a decline in price.

Here's how to recognize it:

- Little to no upper shadow
- The price closes at the top $\frac{1}{4}$ of the range
- The lower shadow is about 2 or 3 times the length of the body

And this is what a Hammer means...

1. When the market opens, the sellers took control and pushed price lower
2. At the selling climax, huge buying pressure stepped in and pushed price higher
3. The buying pressure is so strong that it closed above the opening price

In short, a hammer is a bullish reversal candlestick pattern that shows rejection of lower prices.

BEARISH REVERSAL CANDLESTICK PATTERNS SHOOTING STAR

Bearish reversal candlestick patterns signify that sellers are momentarily in control.

Now, there are different bearish reversals candlestick patterns like Shooting Star, Bearish Engulfing, Evening Star, and etc.

But for this article, I'll cover the Shooting Star:



SHOOTING STAR

A Shooting Star is a (1- candle) bearish reversal pattern that forms after an advanced in price.

Here's how to recognize it:

- Little to no lower shadow
- The price closes at the bottom $\frac{1}{4}$ of the range
- The upper shadow is about 2 or 3 times the length of the body

And this is what a Shooting Star means...

1. When the market opens, the buyers took control and pushed price higher
2. At the buying climax, huge selling pressure stepped in and pushed price lower
3. The selling pressure is so strong that it closed below the opening price

In short, a Shooting Star is a bearish reversal candlestick pattern that shows rejection of higher prices.

Now, if you want to learn more about the different candlestick patterns, then go check out [The Monster Guide to Candlestick Patterns](#).

Let's move on...

SWING TRADING: WHERE TO SET YOUR STOP LOSS SO YOU DON'T GET STOPPED OUT PREMATURELY

Now:

One of the biggest mistakes you can make is to have a TIGHT stop loss.

You're probably thinking...

"But a tight stop loss reduces my risk and improves my risk to reward."

Not true.

Because more often than not, you'll get stopped first before the market can move in your favour.

This means your analysis might be correct but you still end up losing money because your stop loss is too TIGHT.

It's ridiculous.

So, what's the solution?

Increase the size of your [stop loss](#) so you can withstand the "noise" of the markets and watch the market move in your favour.

Here's how...

Your stop loss must be at a location where if reached, will invalidate your trading setup.

This means if you short a head & shoulders pattern, then your stop loss should be at a level where if the market hits it, the entire pattern is "destroyed".

Or if you're long Support, then your stop loss should be below Support such that if the market hits it, chances are, Support is broken.

Now, I don't suggest placing your stops just below Support or Resistance because you'll get [stop hunted](#) easily.

Instead, give it some "buffer" so your trade has more room to breathe.

If you want to decide how much "buffer" to give, you can use the [Average True Range \(ATR\) indicator](#) and set your stop loss 1ATR below Support.

Here's what I mean:



Now if you want a more detailed explanation of this concept, then go watch this training video below...

SWING TRADING: WHERE TO TAKE PROFITS BEFORE THE MARKET DOES A 180-DEGREE REVERSAL AGAINST YOU

Recall:

The idea of swing trading is to endure as “little pain” as possible by exiting your trades before the opposing pressure comes in.

So what exactly does it mean?

This means...

If you're long, you'll want to take profit at areas where selling pressure could come in (like swing high, Resistance, and etc.).

Or, if you're short, you'll want to take profit at areas where buying pressure could come in (like swing low, Support, and etc.).

An example:



Pro tip: Don't set your target profit at the absolute high/low because the market may do a 180-degree reversal before it reaches your target.

Instead, look to exit your trades a few pips earlier before your target profit.

A SIMPLE SWING TRADING STRATEGY THAT WORKS

Now, let's piece the puzzles together and so you can develop a swing trading strategy that works.

Here's how to do it:

1. Identify a range market (market condition)
2. Wait for the price to reach Support (area of value)
3. If the price reaches Support, then wait for a False Break (entry trigger)
4. Set your stop loss 1 ATR below the candle low and take profits before Resistance (stop loss and target profit)

An example:



And here's another (but in a downtrend):



Now...

This isn't the only way to swing trade the markets.

Because by using the principles I've shared, you can also use different areas of value like (trend line, trend channel, moving average, and etc.).

CONCLUSION

Swing trading is about capturing "one move" in the market by exiting your trades before opposing pressure comes in.

In essence, here's what you're doing:

1. Identify an area of value to trade from
2. Wait for an entry trigger
3. Set your stop loss away from the "noise" of the markets
4. Look to capture one swing by taking profits before the market structure

DO YOU WANT MORE STUFF LIKE THIS?

Then check out my website, TradingwithRayner because you'll learn new trading strategies and techniques to level up your trading.

There's no hype or fluff but only the good stuff.

Here's the link: www.tradingwithrayner.com